



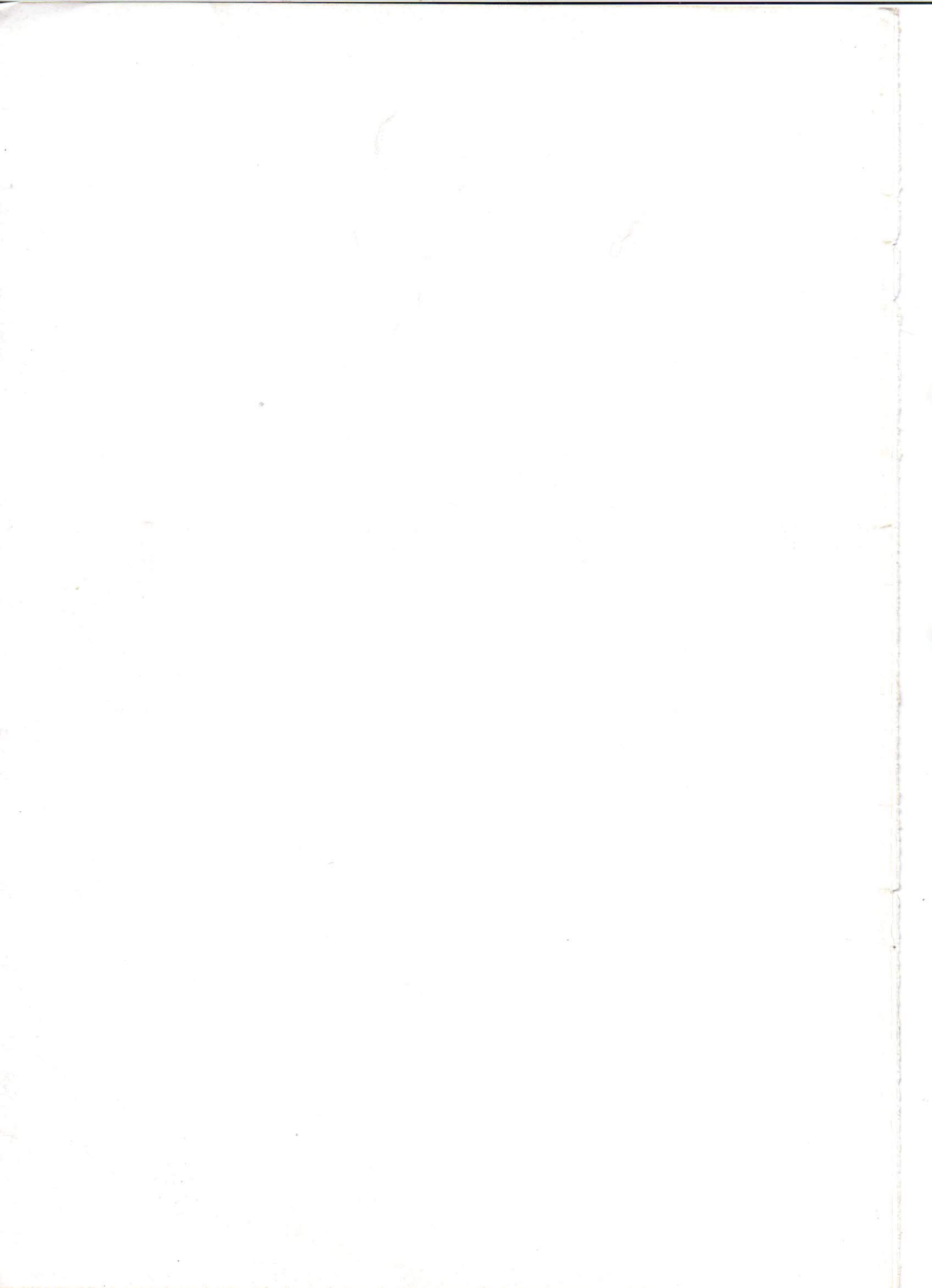
## 2002 Annual Report and Accounts

# TPS

TOURISM PROMOTION  
SERVICES LIMITED



SERENA HOTELS  
SAFARI LODGES • RESORTS • RESIDENCES



# CONTENTS

|                                                |         |
|------------------------------------------------|---------|
| Directors and Administration                   | 2       |
| Notice of Annual General Meeting               | 3       |
| Chairman's Statement                           | 4       |
| Taarifa ya Mwenyekiti                          | 5       |
| Corporate Governance                           | 6       |
| Report of the Directors                        | 7       |
| Statement of Directors' Responsibilities       | 8       |
| Report of the Auditors                         | 9       |
| Financial Highlights                           | 10      |
| Profit and Loss Account                        | 11      |
| Balance Sheet                                  | 12      |
| Statement of Changes in Equity                 | 13      |
| Cash Flow Statement                            | 14      |
| Accounting Policies                            | 15 - 16 |
| Notes forming part of the Financial Statements | 17 - 28 |

## BOARD OF DIRECTORS:

Timothy C J Ramtu  
*(Chairman, Deceased on 23 April 2002)*  
Francis Okomo-Okello  
*(Appointed Chairman on 30 May 2002)*  
Mahmud Jan Mohamed  
*(Managing Director)*  
Abdulmalek J Virani  
*(Finance Director)*  
Iain Cheyne\*  
Frederic Lucien\*  
*(Appointed as alternate to Iain Cheyne on 26 July 2002)*  
Kungu Gatabaki  
Jack Kisa  
*(Appointed on 26 July 2002)*  
Graham Leslie\*  
*(Resigned on 26 July 2002)*  
Mahmood P Manji  
Abdul I Paroo\*\*\*

## BOARD AUDIT & FINANCE COMMITTEE:

Saleem Karimjee\*\*\*\*  
*(Chairman, Appointed on 30 May 2002)*  
Kungu Gatabaki  
Kabir Hyderally\*\*  
Mahmood P Manji  
Abdul I Paroo\*\*\*

\*British \*\*Tanzanian \*\*\*Canadian \*\*\*\*Pakistani

## COMPANY SECRETARY:

Madren Nderu (Ms.)  
*(Resigned 17 March 2003)*  
Damary Ayuku Angulu (Mrs.)  
*(Appointed 17 March 2003)*

## PRINCIPAL OFFICERS:

Peter Mbogua  
*(Regional Sales and Marketing Director)*  
Alastair Addison  
*(Group Operations Director)*  
Charles Ogada  
*(Group Financial Controller)*  
Detlef Winter  
*(General Manager – Nairobi Serena)*  
Mark Gathuri  
*(General Manager – Mombasa Serena)*  
Herman Mwasaghua  
*(Manager – Amboseli Serena)*  
June Kyula (Ms.)  
*(Manager – Samburu Serena)*  
Tiwa Mwachunga  
*(Manager – Mara Serena)*  
Anthony Chege  
*(Manager – Mountain Lodge)*  
Joseph Ole Mpaa  
*(Manager – Kilaguni Serena)*

## Directors

## and

## Administration

## REGISTERED OFFICE:

4th Floor, Williamson House,  
4th Ngong Avenue  
PO Box 48690 - 00100 Nairobi, Kenya  
Telephone : 254 (2) 2710511  
Fax : 254 (2) 2718100/1  
E-mail : [admin@serena.co.ke](mailto:admin@serena.co.ke)  
Website : [www.serenahotels.com](http://www.serenahotels.com)

## HOTELS AND LODGES:

Nairobi Serena Hotel  
Mombasa Serena Beach Hotel  
Amboseli Serena Safari Lodge  
Samburu Serena Safari Lodge  
Mara Serena Safari Lodge  
Mountain Lodge (Managed by Serena)  
Kilaguni Serena Safari Lodge

## AUDITORS:

PricewaterhouseCoopers  
Certified Public Accountants  
Rahimtulla Trust Tower  
PO Box 43963 - 00100 Nairobi, Kenya

## PRINCIPAL BANKERS:

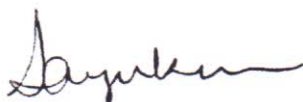
Barclays Bank of Kenya Limited  
PO Box 30120 - 00100 Nairobi, Kenya

## Notice of Annual General Meeting

Notice is hereby given that the Thirty-fourth Annual General Meeting of the Company will be held at the Amphitheatre, Kenyatta International Conference Centre, Nairobi on Friday, 6<sup>th</sup> June 2003 at 11.00 a.m. to transact the following business:

1. To receive, consider and, if thought fit, adopt the Accounts for the year ended 31<sup>st</sup> December 2002, together with the Directors' and Auditors' Reports thereon.
2. To approve payment of a final dividend for the year 2002 of Kshs. 1.10 per share of Kshs. 5.00 subject to withholding tax, where applicable, to the Members on the Register at the close of business on 6<sup>th</sup> June 2003.
3. To elect Directors:
  - (a) Mr. Iain Cheyne, retires by rotation in accordance with Articles No. 95 and 96 of the Company's Articles of Association and being eligible, offers himself for re-election.
  - (b) Mr. Jack Kisa, retires in accordance with Article 93 of the Company's Articles of Association and being eligible, offers himself for re-election.
4. To approve the Directors' remuneration for the year 2002.
5. To appoint the Company's Auditors, PricewaterhouseCoopers, in accordance with Section 159(2) of the Companies Act (Cap. 486).
6. To note the Auditors' remuneration for the year 2002 and to authorise the Directors to fix the Auditors' remuneration for the year 2003.
7. To transact any other Ordinary Business of an Annual General Meeting.

By Order of the Board



**Damary Ayuku Angulu (Mrs.)**

Company Secretary

Nairobi 24 March 2003

### **Note:**

A member entitled to attend and vote at the meeting and who is unable to attend is entitled to appoint a proxy to attend and vote on his behalf. A proxy need not be a member of the Company. To be valid, a Form of Proxy which is provided with this report, must be duly completed by the member and must be received at the registered offices of the Company not later than 11.00 a.m. on Wednesday, 4<sup>th</sup> June 2003.

## Chairman's Statement

**I**t gives me great pleasure to present to you the Annual Report and Financial Statements of Tourism Promotion Services Limited for the year ended 31 December 2002.

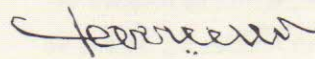
Your Company recorded satisfactory results for the year 2002 against a backdrop of major challenges facing the tourism industry both globally and locally. The negative impact of the 11th September 2001 incident in the United States, the November 2002 terrorist attack in Mombasa together with the uncertainty leading up to the 2002 General Elections posed various business challenges. However, with the continued commitment of our Staff, Management and the support from our valued customers and other stakeholders, the Company rose to the challenge and maintained its market position, invested in physical product enhancement, introduced various system changes, rationalized operational processes, identified new markets and enhanced debt collection.

The Company remains committed to becoming a leader in the operation and management of high quality hotels and lodges in the eastern African region. In addition, it continues to adhere to the highest standards relating to environmental and ecological responsible practices. In line with its commitment to corporate social responsibility, the Company positively contributes to the economic activities of the local communities in which it

operates. These efforts have been widely acknowledged and the Company received various local and international accolades and awards during the year 2002.

The Company remains a significant contributor to Government revenue and paid Kshs. 201.9 million in direct and indirect taxes and Kshs. 50.2 million to local authorities in royalty/rent payments for 2002. Looking ahead, it is our expectation that the Government will continue to focus on the creation of a buoyant tourism industry by providing the necessary infrastructure, security and product initiatives that are urgently needed to enable the sector offer competitive services, create employment opportunities and generate economic growth.

In conclusion, may I take this opportunity to convey my warm gratitude to the Board, Management and Staff, at all levels for their dedication; our Shareholders and esteemed customers for their continued support during the year 2002 as we look forward to realizing greater achievements during the year 2003.



**Francis Okomo-Okello**

Chairman



## Taarifa ya Mwenyekiti

**N**i furaha kubwa kwangu kuwasilisha kwenu Ripoti ya mwaka na Taarifa ya Mahesabu za Kampuni ya Tourism Promotion Services Limited kwa mwaka uliomalizika tarehe 31 Disemba, 2002.

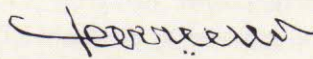
Kampuni yenu imerekodi matokeo mazuri kwa mwaka 2002 licha ya changamoto kubwa zinazokabili sekta ya utalii ulimwenguni na humu nchini. Athari mbaya za mashambulizi ya tarehe 11 Septemba 2001 nchini Marekani, shambulizi la kigaidi la mwezi Novemba 2002 huko Mombasa pamoja na hali ya wasi wasi hadi kufikia uchaguzi mkuu wa mwaka 2002 ni matukio yaliyosababisha changamoto mbali mbali. Hata hivyo, kuendelea kujitolea kwa wafanyakazi wetu, wasimamizi na kuungwa mkono na wateja wetu na wahusika wengine, Kampuni hii ilikabili changamoto hizo na kudumisha sehemu yake ya soko, ikawekeza katika ustawishaji, ikaanzisha marekebisha kadha ya utaratibu, ikasawazisha taratibu kadha za utendaji, ikatambua masoko mapya na kuimarisha shughuli ya kukusanya madeni yake.

Kampuni hii inaendelea kujitolea kuhakikisha inachukua uongozi katika uendeshaji na usimamizi wa hoteli za hali ya juu katika eneo la mashariki mwa Afrika. Mbali na hayo, inaendelea kuzingatia viwango vya juu kuhusiana na utunzaji mazingira. Kuambatana na kujitolea kwake katika miradi ya usaidizi wa jamii, Kampuni hii inachangia shughuli za kiuchumi za jamii katika maeneo inakoendesha

shughuli zake. Juhudi hizi zimetambuliwa katika sehemu mbali mbali na Kampuni hii imepokea pongezi za kitaifa na kimataifa na tuzo mbali mbali katika mwaka 2002.

Kampuni hii inaendelea kuchangia kwa kiasi kikubwa mapato ya ushuru wa serikali na ililipa shilingi milioni 201.9 kama ushuru wa moja kwa moja na usiokuwa wa moja kwa moja, na shilingi milioni 50.2 kwa mabaraza ya wilaya kama malipo ya kodi mbali mbali. Tukiangalia mbele, ni matumaini yetu kwamba Serikali itaendelea kuangazia kubuni sekta thabiti ya utalii kwa kuhakikisha kuwepo miundo msingi inayostahili, usalama na vivutio vipya vya utalii vinavyohitajika kwa dharura ili kuiwezesha sekta hiyo kutoa huduma zinazoweza kushindana, kubuni nafasi za kazi na kukuza uchumi.

Na hatimaye, ningependa kuchukua fursa hii kutoa shukurani zangu kwa Halmashauri ya Wakurugenzi, Wasimamizi na Wafanyakazi wa tabaka zote kwa kujitolea kwao; Wenye hisa wetu na wastahiki wateja wetu kwa kuendelea kutuunga mkono katika mwaka 2002, huku tukitarajia kuafikia mafanikio zaidi katika mwaka 2003.



**Francis Okomo-Okello**

Mwenyekiti



## Corporate Governance

Corporate governance is the process by which companies are directed and controlled with the ultimate aim of achieving shareholders' long-term value while taking into account the interest of the other stakeholders. The Board recognizes the need to conduct the business of the Company in accordance with generally accepted corporate practices and principles of corporate governance and business ethics. The Company endeavors to meet and wherever possible, exceed the standards prescribed in the guidelines issued by the Capital Markets Authority on Corporate Governance Practices by Public Listed Companies (May 2002). The Board is pleased to report that the Company has substantially complied with these guidelines.

The Board has in place an Audit and Finance Committee and Remuneration and Nomination Committee. Areas of non compliance shall be complied with in due course of year 2003. Below are the key aspects of the Company's existing corporate governance practices.

### **Board of Directors**

The Board provides direction on general policy and is responsible for maintaining the Company's overall internal control of strategic, financial, operational and compliance issues. These controls are designed to safeguard the Company's assets, both human and physical, and to ensure the completeness and accuracy of financial information used within the business. The Board meets at least four times a year. The Board consists of two executive directors, being the Managing Director and the Finance Director, and six non-executive directors, who include the Chairman of the Board. All the non-executive directors are subject to periodic retirement and re-election in accordance with the Company's Articles of Association. The directors bring a wealth of experience and knowledge to the Board's deliberations, which is enhanced by the provision of relevant information on the Company's performance.

### **Audit and Finance Committee**

In 1997, the Company established an Audit and Finance Committee. The Committee meets at least three times a year and additionally as may be required. It consists of at least three non-executive directors and members of the Management team attend as required. The Committee's main duties are to review financial information and ensure that the systems of internal control are effectively administered. Significant findings identified by the internal and external auditors are also considered. During the year, an Internal Audit Manual and Corporate Risk Assessment Document were produced and approved by the Board for adoption.

### **Internal Controls**

The Company has a well-defined organizational structure with appropriate segregation of responsibilities. This is complemented by a variety of policy and procedure documents, which provide a guiding framework to the Management team. Monthly Credit Control, Sales and Marketing and Finance Review meetings are held to review these critical aspects of the Company's operations.

### **Corporate Social Responsibility**

The Company continues to meet its corporate social responsibilities by promoting the economic activities of local communities and being sensitive to the preservation and protection of the environment. There is a continuous review of the health, safety and hygiene requirements of the business, which is carried out both internally and by external experts.

### **Awards**

The Company maintained its leadership position by securing various awards during the course of the year 2002. These included:

- November 2002 Conde Nast Traveller Award to Mara Serena Safari Lodge (one of the Top 15 African Resorts)
- Eco-tourism Society of Kenya Bronze award to Mombasa Serena Beach Hotel
- Travel News "Quest for the Best 2002" to Mombasa Serena Beach Hotel
- 20<sup>th</sup> Company in the PricewaterhouseCoopers East Africa's Most Respected Company Survey 2002
- 10<sup>th</sup> Most Respected Chief Executive Officer in the PricewaterhouseCoopers East Africa's Most Respected Company Survey 2002.

# Report of the Directors

The directors submit their report together with the audited financial statements for the year ended 31 December 2002 which disclose the state of affairs of the company.

## INCORPORATION AND REGISTERED OFFICE

The company is incorporated in Kenya under the Companies Act and is domiciled in Kenya. The address of its registered office is:

George Williamson House  
4<sup>th</sup> Ngong Avenue  
PO Box 48690  
00100-GPO  
NAIROBI  
KENYA

## PRINCIPAL ACTIVITIES

The company is an owner and operator of hotel and lodge facilities in Kenya, serving the business and tourist markets.

## RESULTS AND DIVIDEND

Out of the net profit for the year of Shs 105,889,000 (2001: Shs 96,706,000), the directors recommend the approval of a 22% (2001: 22%) dividend amounting to Shs 42,546,900 (2001: Shs 42,546,900).

## FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

The company's activities expose it to a variety of financial risks, including credit risk, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimize potential adverse effects on its financial performance within the options available in Kenya to hedge against such risks.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

## DIRECTORS

The directors who held office during the year and to the date of this report were:

|               |                                                      |
|---------------|------------------------------------------------------|
| TCJ Ramtu     | (Chairman) Deceased 23 April 2002                    |
| FO Okello     | (Appointed Chairman on 30 May 2002)                  |
| M Jan Mohamed | (Managing)                                           |
| AJ Virani     | (Finance)                                            |
| MP Manji      |                                                      |
| G Leslie      | (Resigned on 26 July 2002)                           |
| A Paroo       |                                                      |
| I Cheyne      |                                                      |
| F Lucien      | (Appointed as alternate to I Cheyne on 26 July 2002) |
| K Gatabaki    |                                                      |
| J Kisa        | (Appointed on 26 July 2002)                          |

## SECRETARY

M Nderu

In accordance with Article 93 of the Company's Articles of Association, Mr. J Kisa retires at the annual general meeting and, being eligible, offers himself for re-election.

In accordance with Articles 95 and 96 of the Company's Articles of Association, Mr. I Cheyne retires by rotation and, being eligible, offers himself for re-election.

## AUDITORS

The company's auditors, PricewaterhouseCoopers, continue in office in accordance with Section 159(2) of the Companies Act.

By order of the Board



**Madren Nderu**  
SECRETARY

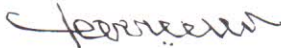
28 February 2003

## *Statement of Directors' Responsibilities*

The Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the company as at the end of the financial year and of its profit or loss. It also requires the directors to ensure that the company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

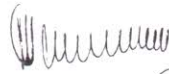
The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the company and of its profit or loss. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company will not remain a going concern for at least the twelve months from the date of this statement.



**Director**

28 February 2003



**Director**

28 February 2003

# *Report of the Auditors*

TO THE MEMBERS OF TOURISM PROMOTION SERVICES LIMITED

We have audited the financial statements set out on pages 11 to 28 which are in agreement with the company's books of account.

## **Respective responsibilities of directors and auditors**

The directors are responsible for the preparation of financial statements as set out on page 8. Our responsibility is to express an independent opinion on the financial statements based on our audit.

## **Basis of opinion**

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the financial statements.

We have obtained all the information and explanations that to the best of our knowledge and belief were necessary to provide a reasonable basis of our opinion.

## **Opinion**

In our opinion, proper books of account have been kept and the financial statements give a true and fair view of the state of the company's financial affairs at 31 December 2002 and of its profit and cash flows for the year then ended and comply with International Financial Reporting Standards and the Kenyan Companies Act.

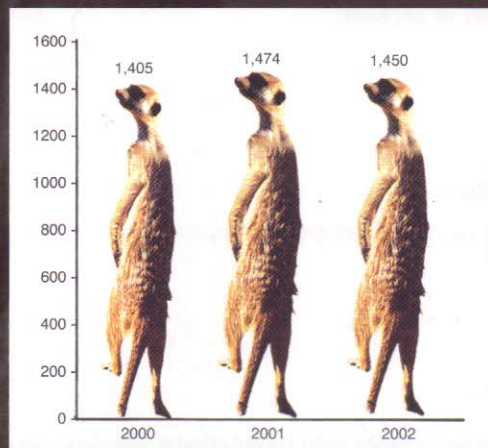
**PRICEWATERHOUSECOOPERS** 

Certified Public Accountants  
Nairobi

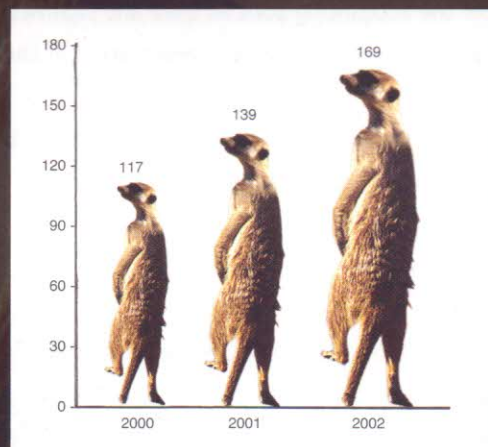
28 February 2003

## Financial Highlights

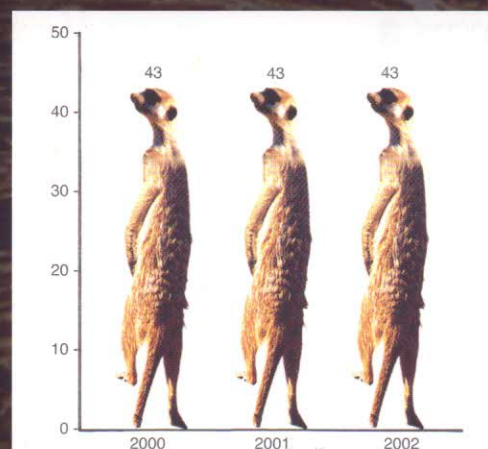
### TURNOVER (Millions)



### PROFIT BEFORE TAX (Millions)



### PROPOSED FINAL DIVIDEND (Millions)



# Profit and loss account

for the year ended 31 December 2002

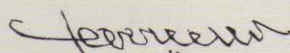
|                                      | Notes | 2002<br>Shs'000 | 2001<br>Shs'000 |
|--------------------------------------|-------|-----------------|-----------------|
| <b>Sales</b>                         |       | 1,450,158       | 1,473,952       |
| Cost of sales                        |       | (309,978)       | (323,377)       |
| <b>Gross profit</b>                  |       | 1,140,180       | 1,150,575       |
| Other operating income               |       | 103,396         | 79,739          |
| Dividend income                      |       | -               | 4,658           |
| Staff costs                          |       | (347,018)       | (297,105)       |
| Administration expenses              |       | (254,792)       | (351,535)       |
| Other operating expenses             |       | (470,718)       | (428,980)       |
| <b>Operating profit</b>              | 1     | 171,048         | 157,352         |
| Net finance costs                    | 3     | (5,657)         | (21,551)        |
| Share of results of associate        | 4     | 3,596           | 2,898           |
| <b>Profit before tax</b>             |       | 168,987         | 138,699         |
| Tax                                  | 5     | (63,098)        | (41,993)        |
| <b>Net profit</b>                    |       | 105,889         | 96,706          |
| Earnings per share (Shs )            |       |                 |                 |
| - basic and diluted                  | 7     | 2.74            | 2.50            |
| <b>Dividends:</b>                    |       |                 |                 |
| Proposed final dividend for the year | 6     | 42,547          | 42,547          |

# Balance sheet

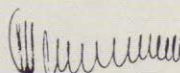
as at 31 December 2002

|                                        | Notes | 2002<br>Shs'000  | 2001<br>Shs'000  |
|----------------------------------------|-------|------------------|------------------|
| <b>CAPITAL EMPLOYED</b>                |       |                  |                  |
| Share capital                          | 8     | 193,395          | 193,395          |
| Revaluation reserve                    | 9     | 416,210          | 395,075          |
| Retained earnings                      |       | 368,978          | 304,874          |
| Proposed dividends                     | 6     | 42,547           | 42,547           |
| <b>Shareholders' funds</b>             |       | <b>1,021,130</b> | <b>935,891</b>   |
| <b>Non-current liabilities</b>         |       |                  |                  |
| Borrowings                             | 10    | 136,589          | 199,773          |
| Deferred tax                           | 11    | 188,366          | 184,595          |
| Provisions for liabilities and charges | 12    | 65,713           | 66,422           |
|                                        |       | <b>390,668</b>   | <b>450,790</b>   |
|                                        |       | <b>1,411,798</b> | <b>1,386,681</b> |
| <b>REPRESENTED BY</b>                  |       |                  |                  |
| <b>Non-current assets</b>              |       |                  |                  |
| Property, plant and equipment          | 13    | 1,311,026        | 1,317,094        |
| Prepaid operating lease rental         | 14    | 13,533           | 13,693           |
| Intangible assets                      | 15    | 7,255            | 7,830            |
| Investment in subsidiary               | 16    | 6,000            | 6,000            |
| Investment in associate                | 4     | 13,770           | 12,639           |
|                                        |       | <b>1,351,584</b> | <b>1,357,256</b> |
| <b>Current assets</b>                  |       |                  |                  |
| Inventories                            | 17    | 112,793          | 107,969          |
| Receivables and prepayments            | 18    | 588,753          | 390,253          |
| Cash and cash equivalents              | 19    | 69,662           | 150,212          |
|                                        |       | <b>771,208</b>   | <b>648,434</b>   |
| <b>Current liabilities</b>             |       |                  |                  |
| Trade and other payables               | 20    | 345,152          | 232,517          |
| Current tax                            |       | 41,685           | 13,664           |
| Borrowings                             | 10    | 324,156          | 372,828          |
|                                        |       | <b>710,994</b>   | <b>619,009</b>   |
| <b>Net current assets</b>              |       | <b>60,214</b>    | <b>29,425</b>    |
|                                        |       | <b>1,411,798</b> | <b>1,386,681</b> |

The financial statements on pages 11 to 28 were approved for issue by the Board of directors on 28 February 2003 and signed on its behalf by:



Director



Director

# Statement of changes in equity

for the year ended 31 December 2002

|                                                                  | Notes | Share capital<br>Shs'000 | Revaluation reserve<br>Shs'000 | Retained earnings<br>Shs'000 | Proposed dividends<br>Shs'000 | Total<br>Shs'000 |
|------------------------------------------------------------------|-------|--------------------------|--------------------------------|------------------------------|-------------------------------|------------------|
| <b>Year ended 31 December 2001</b>                               |       |                          |                                |                              |                               |                  |
| As previously reported                                           |       | 193,395                  | 468,086                        | 243,591                      | 42,547                        | 947,619          |
| Prior year adjustment                                            |       |                          |                                |                              |                               |                  |
| - amortisation of leasehold land                                 | 14    | -                        | -                              | (2,107)                      | -                             | (2,107)          |
| - reversal of revaluation surplus                                | 14    | -                        | (63,780)                       | -                            | -                             | (63,780)         |
| As restated                                                      |       | 193,395                  | 404,306                        | 241,484                      | 42,547                        | 881,732          |
| Transfer of excess depreciation                                  |       | -                        | (13,170)                       | 13,170                       | -                             | -                |
| Deferred tax on transfer                                         | 11    | -                        | 3,939                          | (3,939)                      | -                             | -                |
| Net (losses)/gains not recognised in the profit and loss account |       | -                        | (9,231)                        | 9,231                        | -                             | -                |
| Net profit for the year                                          |       | -                        | -                              | 96,706                       | -                             | 96,706           |
| Dividends:                                                       |       |                          |                                |                              |                               |                  |
| - Final for 2000 paid                                            |       | -                        | -                              | -                            | (42,547)                      | (42,547)         |
| - Proposed for 2001                                              | 6     | -                        | -                              | (42,547)                     | 42,547                        | -                |
| At end of year                                                   |       | 193,395                  | 395,075                        | 304,874                      | 42,547                        | 935,891          |
| <b>Year ended 31 December 2002</b>                               |       |                          |                                |                              |                               |                  |
| As previously reported                                           |       | 193,395                  | 458,855                        | 306,981                      | 42,547                        | 1,001,778        |
| Prior year adjustment                                            |       |                          |                                |                              |                               |                  |
| - amortisation of leasehold land                                 | 14    | -                        | -                              | (2,107)                      | -                             | (2,107)          |
| - reversal of revaluation surplus                                | 14    | -                        | (63,780)                       | -                            | -                             | (63,780)         |
| As restated                                                      |       | 193,395                  | 395,075                        | 304,874                      | 42,547                        | 935,891          |
| Revaluation surplus                                              | 13    | -                        | 31,281                         | -                            | -                             | 31,281           |
| Deferred tax on revaluation                                      | 11    | -                        | (9,384)                        | -                            | -                             | (9,384)          |
| Transfer of excess depreciation                                  |       | -                        | (1,089)                        | 1,089                        | -                             | -                |
| Deferred tax on transfer                                         | 11    | -                        | 327                            | (327)                        | -                             | -                |
| Net gains not recognised in the profit and loss account          |       | -                        | 21,135                         | 762                          | -                             | 21,897           |
| Net profit for the year                                          |       | -                        | -                              | 105,889                      | -                             | 105,889          |
| Dividends:                                                       |       |                          |                                |                              |                               |                  |
| - Final for 2001 paid                                            |       | -                        | -                              | -                            | (42,547)                      | (42,547)         |
| - Proposed for 2002                                              | 6     | -                        | -                              | (42,547)                     | 42,547                        | -                |
| At end of year                                                   |       | 193,395                  | 416,210                        | 368,978                      | 42,547                        | 1,021,130        |

# Cash flow statement

for the year ended 31 December 2002

|                                                             | Notes | 2002<br>Shs'000 | 2001<br>Shs'000 |
|-------------------------------------------------------------|-------|-----------------|-----------------|
| <b>Operating activities</b>                                 |       |                 |                 |
| Cash generated from operations                              | 23    | 188,438         | 268,102         |
| Interest received                                           |       | 26,892          | 31,817          |
| Interest paid                                               |       | (40,728)        | (53,284)        |
| Tax paid                                                    |       | (38,224)        | (17,997)        |
| Net cash from operating activities                          |       | 136,378         | 228,638         |
| <b>Investing activities</b>                                 |       |                 |                 |
| Purchase of property, plant and equipment                   | 13    | (64,871)        | (177,660)       |
| Purchase of investment                                      | 4     | -               | (6,367)         |
| Proceeds from disposals of property,<br>plant and equipment |       | 1,970           | 6,624           |
| Dividends received                                          |       | -               | 4,658           |
| Net cash used in investing activities                       |       | (62,901)        | (172,745)       |
| <b>Financing activities</b>                                 |       |                 |                 |
| Proceeds from issue of commercial paper                     |       | 52,923          | (18,410)        |
| Proceeds from bank borrowings                               |       | 70,000          | 509,750         |
| Payments of bank borrowings                                 |       | (205,944)       | (412,532)       |
| Dividends paid                                              |       | (42,547)        | (42,547)        |
| Net cash (used in)/ generated from<br>financing activities  |       | (125,568)       | 36,261          |
| <b>Increase/(decrease) in cash and<br/>cash equivalents</b> |       | (52,091)        | 92,154          |
| <b>Movement in cash and cash equivalents</b>                |       |                 |                 |
| At start of year                                            |       | 66,925          | (25,229)        |
| Increase/(decrease)                                         |       | (52,091)        | 92,154          |
| At end of year                                              | 19    | 14,834          | 66,925          |

The principal accounting policies adopted in the preparation of these financial statements are set out below:

**(a) Basis of preparation**

The financial statements are prepared in accordance with and comply with International Financial Reporting Standards (IFRS). The financial statements are presented in Kenya Shillings (Shs) and are prepared under the historical cost convention as modified by the revaluation of certain property, plant and equipment.

The preparation of financial statements in conformity with generally accepted accounting principles requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on the directors' best knowledge of current events and actions, actual results ultimately may differ from those estimates.

**(b) Revenue recognition**

Sales are recognised upon performance of services, and are stated net of VAT and discounts.

Interest income is recognised on a time proportion basis that takes into account the effective yield on the asset. Dividends are recognised as income in the period in which the right to receive payment is established.

**(c) Translation of foreign currencies**

Transactions in foreign currencies during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at rates ruling at that date. The resulting differences from conversion and translation are dealt with in the profit and loss account in the year in which they arise.

**(d) Investment in subsidiary**

The investment in the subsidiary is stated in the balance sheet at cost. Where, in the opinion of the directors, there has been impairment in the value of an investment, the loss is recognised as an expense in the period in which the impairment is identified.

On disposal of the investment, the difference between the net disposal proceeds and the carrying amount is charged or credited to the profit and loss account.

**(e) Investment in associate**

Investment in associate is accounted for by the equity method of accounting. Under this method the company's share of the post acquisition profits or losses of associates is recognised in the income statement and its share of post acquisition movements in reserves is recognised in reserves. The cumulative post acquisition movements are adjusted against the cost of investment. An associate is an entity which the Group generally has between 20% and 50% of the voting rights, or over which the Group has significant influence, but which it does not control.

**(f) Property, plant and equipment**

Property, plant and equipment are initially recorded at cost. Land and buildings are subsequently shown at market value, based on triennial valuations by external independent valuers, less subsequent depreciation. All other property, plant and equipment is stated at historical cost less depreciation. Freehold land is not depreciated.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the profit and loss account) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Depreciation is calculated on the straight line basis to write down the cost of each asset, or the revalued amounts, to their residual values over their expected useful life as follows:

|                        |                              |
|------------------------|------------------------------|
| Buildings              | Over the period of the lease |
| Computers              | 3 years                      |
| Motor vehicles         | 4 years                      |
| Furniture and fittings | 8 years                      |
| Lift installations     | 10 years                     |

Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

**(f) Property, plant and equipment (continued)**

Gains and losses on disposal of property, plant and equipment are determined by reference to their carrying amount and are taken into account in determining operating profit. On disposal of revalued assets, amounts in the revaluation reserve relating to that asset are transferred to retained earnings.

**(g) Intangible assets**

On acquisition, the excess of the purchase price over the fair value of the net identifiable assets acquired is recorded as an intangible asset in the balance sheet. The intangible asset, goodwill, is amortised to the profit and loss account on the straight-line basis over its estimated useful life which does not exceed 20 years. The carrying amount of goodwill is reviewed when circumstances or events indicate that there may be uncertainty, over the carrying amount and written down for impairment, if required.

**(h) Accounting for leases**

Leases of assets under which significant risks and benefits of ownership are effectively retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the profit and loss account on a straight-line basis over the period of the lease.

**(i) Inventories**

Inventories are stated at the lower of cost and net realisable value. Cost is determined by the first-in, first-out (FIFO) method. Net realisable value is the estimate of the selling price in the ordinary course of businesses, less selling expenses.

**(j) Trade receivables**

Trade receivables are carried at amortised invoiced amounts less an estimate made for doubtful receivables. A provision for impairment of trade receivables is established where there is objective evidence that the company will not be able to collect all the amounts due according to the original terms of receivables. An estimate is made for doubtful receivables based on a review of all outstanding amounts at the year-end. Bad debts are written off in the year in which they are identified.

**(k) Employee entitlements**

Employee entitlements to gratuity are recognised when they accrue to employees. A provision is made for the estimated liability for such entitlements as a result of services rendered by employees up to the balance sheet date.

The estimated monetary liability for employee's accrued annual leave at the balance sheet date is recognised as an expense accrual.

**(l) Borrowings**

Borrowings are recognised initially at the proceeds received net of transaction costs incurred. Borrowings are subsequently stated at amortised cost.

**(m) Deferred tax**

Deferred tax is provided in full, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. Tax rates enacted or substantively enacted at year-end are used to determine deferred tax.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the tax benefit can be utilised.

**(n) Retirement benefit obligations**

The company operates a defined contribution staff retirement benefits scheme for all its employees. The assets of the scheme are held in a separate trustee administered fund that is funded by contributions from both the company and employees.

The company's contributions to the scheme are charged to the profit and loss account in the year to which they relate.

**(o) Dividends**

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until declared.

**(p) Comparatives**

Where necessary, comparative figures have been adjusted to conform with changes in presentation in the current year.

**1 Operating profit**

The following items have been charged in arriving at operating profit:

|                                                         | 2002<br>Shs'000 | 2001<br>Shs'000 |
|---------------------------------------------------------|-----------------|-----------------|
| Depreciation on property, plant and equipment (Note 13) | 101,683         | 99,258          |
| Operating lease rentals                                 | 50,169          | 50,315          |
| Amortasation of goodwill (Note 15)                      | 575             | 576             |
| Staff costs (Note 2)                                    | 347,018         | 334,930         |
| Auditors' remuneration                                  | 1,934           | 1,830           |

**2 Staff costs**

The following items are included within staff costs:

|                                                        |         |         |
|--------------------------------------------------------|---------|---------|
| Salaries and wages                                     | 243,078 | 248,698 |
| Social security benefits                               | 2,811   | 1,266   |
| Retirement benefit costs - defined contribution scheme | 10,126  | 10,057  |

|                                                                    | Number | Number |
|--------------------------------------------------------------------|--------|--------|
| The number of persons employed by the company at the year end was: | 1,186  | 1,173  |

**3 Net finance costs**

|                                      | 2002<br>Shs'000 | 2001<br>Shs'000 |
|--------------------------------------|-----------------|-----------------|
| Interest income:                     |                 |                 |
| - bank deposits                      | 18,388          | 25,795          |
| - staff loans                        | 8,504           | 6,022           |
|                                      | 26,892          | 31,817          |
| Foreign exchange gain/(loss)         | 8,179           | (84)            |
| Interest payable and similar charges |                 |                 |
| - bank borrowings                    | (33,773)        | (27,383)        |
| - bank overdraft                     | (31)            | (14,174)        |
| - commercial paper                   | (6,924)         | (11,727)        |
|                                      | (5,657)         | (21,551)        |

**4 Investment in associate**

|                                | <b>2002<br/>Shs'000</b> | <b>2001<br/>Shs'000</b> |
|--------------------------------|-------------------------|-------------------------|
| Opening net book amount        | 12,639                  | 4,280                   |
| Acquisition                    | -                       | 6,367                   |
| Share of results before tax    | 3,596                   | 2,898                   |
| Share of tax (Note 5)          | (2,465)                 | (906)                   |
| Net share of results after tax | 1,131                   | 1,992                   |
| Closing net book amount        | 13,770                  | 12,639                  |

The associate, Mountain Lodges Limited, whose principal business is to provide lodge facilities for tourists, is an unlisted company incorporated in Kenya.

**5 Tax**

|                                              | <b>2002<br/>Shs'000</b> | <b>2001<br/>Shs'000</b> |
|----------------------------------------------|-------------------------|-------------------------|
| Current tax                                  | 53,593                  | 30,641                  |
| Deferred tax (Note 11)                       | (1,358)                 | 10,446                  |
| Share of tax of associate                    | 2,465                   | 906                     |
| Under-provision of current tax in prior year | 12,653                  | -                       |
| Over-provision of deferred tax in prior year | (4,255)                 | -                       |
|                                              | 63,098                  | 41,993                  |

The tax on the company's profit before tax differs from the theoretical amount that would arise using the basic tax rate as follows:

|                                                   | <b>2002<br/>Shs'000</b> | <b>2001<br/>Shs'000</b> |
|---------------------------------------------------|-------------------------|-------------------------|
| Profit before tax                                 | 168,987                 | 138,699                 |
| Tax calculated at a tax rate of 30 % (2001: 30 %) | 50,696                  | 41,610                  |
| Tax effect of:                                    |                         |                         |
| Income not subject to tax                         | (1,079)                 | (2,376)                 |
| Expenses not deductible for tax purposes          | 2,618                   | 1,853                   |
| Over-provision of deferred tax in prior year      | (4,255)                 | -                       |
| Share of tax of associate                         | 2,465                   | 906                     |
| Under-provision of current tax in prior year      | 12,653                  | -                       |
| Tax charge                                        | 63,098                  | 41,993                  |

**6 Dividends per share**

Proposed dividends are accounted for as a separate component of equity until they have been ratified at the annual general meeting. A dividend in respect of the year ended 31 December 2002 of Shs 1.10 per share (2001: Shs 1.10) amounting to Shs 42,546,900 (2001: Shs 42,546,900) is to be proposed at the forthcoming annual general meeting.

Payment of dividends is subject to withholding tax at the rate of 5% for Kenyan residents and 10% for non-residents.

**7 Earnings per share**

Basic earnings per share are calculated by dividing the earnings attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

|                                                                  | 2002    | 2001   |
|------------------------------------------------------------------|---------|--------|
| Net profit attributable to shareholders (Shs'000)                | 105,889 | 96,706 |
| Weighted average number of ordinary shares in issues (thousands) | 38,679  | 38,679 |
| Basic earnings per share (Shs)                                   | 2.74    | 2.50   |

There were no outstanding potentially dilutive shares at 31 December 2002 or 2001. Diluted earnings per share is therefore the same as basic earnings per share.

**8 Share capital**

|                                                                         | Number of<br>shares<br>(Thousands) | Ordinary<br>shares<br>Shs'000 |
|-------------------------------------------------------------------------|------------------------------------|-------------------------------|
| Authorised, issued and fully paid at par value<br>of Shs 5.00 per share |                                    |                               |
| At start and end of year                                                | 38,679                             | 193,395                       |

**9 Revaluation reserve**

Revaluation reserve relate to surpluses arising from the revaluation of land and buildings less attributable deferred tax. The revaluation reserve is non-distributable. The movement in revaluation reserve is shown in the statement of changes in equity.

# 10 Borrowings

The borrowings are made up as follows:

## Non-current

Bank borrowings

## Current

Bank overdrafts

Bank borrowings

Commercial paper

## Total borrowings

## Bank borrowings movement schedule

At start of year

Additional loans

Repayments

Revaluation gain

At end of year

Current portion

Bank loans and overdrafts are secured by a floating debenture over stocks, debtors and certain land and buildings, including immovable property.

The weighted average effective interest rates at the year-end were as follows:

- bank overdrafts : US Dollars
- : Kenya Shillings
- bank borrowings
- commercial paper

Maturity of non-current borrowings is as follows:

Between 1 and 2 years

Between 2 and 5 years

2002  
Shs'000

2001  
Shs'000

136,589

199,773

54,828

83,287

141,835

214,971

127,493

74,570

324,156

372,828

460,745

572,601

2002  
Shs'000

2001  
Shs'000

414,744

317,607

70,000

509,750

(205,944)

(412,532)

(376)

(81)

278,424

414,744

141,835

214,971

2002

2001

3.65%

4.66%

8.87%

11.48%

9.96%

11.48%

8.75%

9.98%

2002  
Shs'000

2001  
Shs'000

83,989

116,262

52,600

83,511

136,589

199,773

## 11 Deferred tax

Deferred tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2001:30%). The movement on the deferred tax account is as follows:

|                                           | 2002<br>Shs'000 | 2001<br>Shs'000 |
|-------------------------------------------|-----------------|-----------------|
| At start of year                          | 184,595         | 174,149         |
| Income statement (credit)/charge (Note 5) | (5,613)         | 10,446          |
| Tax charged to equity                     | 9,384           | -               |
| At end of year                            | 188,366         | 184,595         |

Deferred tax assets and liabilities, deferred tax charge/(credit) in the profit and loss account, and deferred tax charge/(credit) in equity are attributable to the following items:

|                                 | 1.1.2002<br>Shs'000 | Charged/<br>(credited)<br>to P/L<br>Shs'000 | Charged/<br>(credited)<br>to equity<br>Shs'000 | 31.12.2002<br>Shs'000 |
|---------------------------------|---------------------|---------------------------------------------|------------------------------------------------|-----------------------|
| <b>Deferred tax liabilities</b> |                     |                                             |                                                |                       |
| Accelerated tax depreciation    | 38,995              | (5,396)                                     | -                                              | 33,599                |
| Revaluation surpluses           | 164,534             | (1,499)                                     | 9,384                                          | 172,419               |
| Unrealised exchange gains       | 5,295               | 221                                         | -                                              | 5,516                 |
|                                 | 208,824             | (6,674)                                     | 9,384                                          | 211,534               |
| <b>Deferred tax assets</b>      |                     |                                             |                                                |                       |
| Provisions                      | (22,807)            | (314)                                       | -                                              | (23,121)              |
| Unrealised exchange losses      | (1,422)             | 1,375                                       | -                                              | (47)                  |
|                                 | (24,229)            | 1,061                                       | -                                              | (23,168)              |
| Net deferred tax liability      | 184,595             | (5,613)                                     | 9,384                                          | 188,366               |

Deferred tax of Shs 327,000 (2001: Shs 3,939,000) has been transferred within shareholders' equity from revaluation reserves to retained earnings. This represents deferred tax on the difference between the actual depreciation on the property and the equivalent depreciation based on the historical cost of the property.

**12 Provisions for liabilities and charges**

Provision for employees' entitlement to gratuity is based on the number of years worked by individual employees up to the balance sheet date. The movement during the year is as follows:

|                       | <b>2002<br/>Shs'000</b> | <b>2001<br/>Shs'000</b> |
|-----------------------|-------------------------|-------------------------|
| At start of year      | 66,422                  | 52,612                  |
| Additional provisions | 660                     | 14,862                  |
|                       | 67,082                  | 67,474                  |
| Utilised during year  | (1,369)                 | (1,052)                 |
| At end of year        | 65,713                  | 66,422                  |

13 Property, plant and equipment

|                                                   | Land &<br>buildings<br>Shs'000 | Plant &<br>machinery<br>Shs'000 | Vehicles &<br>equipment<br>Shs'000 | Capital<br>work in<br>progress<br>Shs'000 | Total<br>Shs'000 |
|---------------------------------------------------|--------------------------------|---------------------------------|------------------------------------|-------------------------------------------|------------------|
| <b>Cost or valuation</b>                          |                                |                                 |                                    |                                           |                  |
| At start of year                                  | 1,150,121                      | 667,686                         | 47,578                             | 18,565                                    | 1,883,950        |
| - reclassification of<br>leasehold land (Note 14) | (79,580)                       | -                               | -                                  | -                                         | (79,580)         |
| As restated                                       | 1,070,541                      | 667,686                         | 47,578                             | 18,565                                    | 1,804,370        |
| Additions                                         | 24,322                         | 36,290                          | 3,499                              | 760                                       | 64,871           |
| Disposals                                         | -                              | (1,396)                         | (1,139)                            | -                                         | (2,535)          |
| Transfer                                          | 12,972                         | 1,208                           | -                                  | (14,180)                                  | -                |
| Revaluation adjustment                            | 31,281                         | -                               | -                                  | -                                         | 31,281           |
| At end of year                                    | 1,139,116                      | 703,788                         | 49,938                             | 5,145                                     | 1,897,987        |
| <b>Depreciation</b>                               |                                |                                 |                                    |                                           |                  |
| At start of year                                  | 88,150                         | 360,942                         | 38,184                             | -                                         | 487,276          |
| Charge for the year                               | 23,499                         | 69,863                          | 8,321                              | -                                         | 101,683          |
| Disposals                                         | -                              | (1,144)                         | (854)                              | -                                         | (1,998)          |
| At end of year                                    | 111,649                        | 429,661                         | 45,651                             | -                                         | 586,961          |
| <b>Net book amount</b>                            |                                |                                 |                                    |                                           |                  |
| At 31 December 2002                               | 1,027,467                      | 274,127                         | 4,287                              | 5,145                                     | 1,311,026        |
| At 31 December 2001<br>(as restated)              | 982,391                        | 306,744                         | 9,394                              | 18,565                                    | 1,317,094        |

In the opinion of the directors, there is no impairment of property, plant and equipment.

### 13 Property, plant and equipment (continued)

Land and buildings were last revalued on 31 December 2002 by Hass Consult, independent professional valuers. Valuations were made on the basis of earnings for existing use. The book values of the properties were adjusted to the revaluations and the resultant surplus net of deferred tax has been credited to revaluation reserves in shareholders' equity.

If the land and buildings were stated on the historical cost basis, the amounts would be as follows:

|                          | 2002<br>Shs'000 | 2001<br>Shs'000 |
|--------------------------|-----------------|-----------------|
| Cost                     | 506,382         | 484,888         |
| Accumulated depreciation | (59,971)        | (41,858)        |
|                          | 446,411         | 443,030         |

### 14 Prepaid operating lease rentals

Following the clarification by the International Accounting Standards Board (IASB) in January 2002 and further guidance by the Institute of Certified Accountants of Kenya (ICPAK) the company has reclassified leasehold land from property, plant and equipment to prepaid operating lease rentals to be carried at historical cost less amortisation over the lease period. As part of the reclassification, the revaluation surplus on leasehold land has been reversed against the revaluation reserve in the shareholders' equity.

The movement during the year is as follows:

|                                                                             | 2002<br>Shs'000 | 2001<br>Shs'000 |
|-----------------------------------------------------------------------------|-----------------|-----------------|
| Leasehold land reclassified from<br>property, plant and equipment (Note 13) | 79,580          | 79,580          |
| Reversal of revaluation surplus                                             | (63,780)        | (63,780)        |
| Historical cost                                                             | 15,800          | 15,800          |
| Accumulated amortisation for prior year                                     | (2,107)         | (2,107)         |
| - as restated                                                               | 13,693          | 13,693          |
| Amortisation charge for year                                                | (160)           | -               |
| At end of year                                                              | 13,533          | 13,693          |

### 15 Intangible assets

Intangible assets relate to goodwill arising from acquisitions. The movement during the year is as follows:

|                     | 2002<br>Shs'000 | 2001<br>Shs'000 |
|---------------------|-----------------|-----------------|
| At start of year    | 7,830           | 8,406           |
| Amortisation charge | (575)           | (576)           |
| At end of year      | 7,255           | 7,830           |

**16 Investment in subsidiary**

Uaso Nyiro Safari Lodge Limited

**2002**  
**Shs'000**

6,000

**2001**  
**Shs'000**

6,000

Uaso Nyiro Safari Lodge Limited, which is dormant, is incorporated in Kenya and is a wholly owned subsidiary of Tourism Promotion Services Limited.

**17 Inventories**

Operating inventories

**2002**  
**Shs'000**

112,793

**2001**  
**Shs'000**

107,969

**18 Receivables and prepayments**

Trade receivables

**2002**  
**Shs'000**

298,027

**2001**  
**Shs'000**

186,065

Less: impairment charge for bad and doubtful debts

(19,690)

(16,554)

278,337

169,511

Prepayments

6,850

-

Receivables from related companies (Note 24)

257,024

170,774

Other receivables

46,542

49,968

588,753

390,253

**2002**  
**Shs'000**

**2001**  
**Shs'000**

**19 Cash and cash equivalents**

Cash at bank and in hand

69,662

150,212

For the purposes of the cash flow statement, the year-end cash and cash equivalents comprise cash in hand, net of bank overdrafts:

**2002**  
**Shs'000**

69,662

(54,828)

14,834

**2001**  
**Shs'000**

150,212

(83,287)

66,925

Cash and bank balances as above

Bank overdrafts (Note 10)

**20 Trade and other payables**

|                                            | <b>2002</b>    | <b>2001</b>    |
|--------------------------------------------|----------------|----------------|
|                                            | <b>Shs'000</b> | <b>Shs'000</b> |
| Trade payables                             | 209,364        | 106,820        |
| Amounts due to related companies (Note 24) | 29,044         | 8,453          |
| VAT payable                                | 6,066          | 5,227          |
| Accrued expenses                           | 97,692         | 69,946         |
| Other payables                             | 2,986          | 42,071         |
|                                            | <b>345,152</b> | <b>232,517</b> |

**21 Contingent liabilities**

At 31 December 2002, the company had given guarantees amounting to Shs 4,360,000 (2001: Shs 4,810,000) to banks on behalf of third parties for supply of goods and services.

**22 Commitments**

**Capital commitments**

There are no capital expenditures that have been contracted for at the balance sheet date but not recognised in the financial statements.

**23 Cash generated from operations**

Reconciliation of profit before tax to cash generated from operations:

|                                                 | <b>2002</b>    | <b>2001</b>    |
|-------------------------------------------------|----------------|----------------|
|                                                 | <b>Shs'000</b> | <b>Shs'000</b> |
| Profit before tax                               | 168,987        | 138,699        |
| Adjustments for:                                |                |                |
| Depreciation (Note 13)                          | 101,683        | 99,258         |
| Amortisation of prepaid lease rentals (Note 14) | 160            | -              |
| Dividend income                                 | -              | (4,658)        |
| Profit on sale of property, plant and equipment | (1,433)        | (726)          |
| Amortisation of goodwill (Note 15)              | 575            | 576            |
| Interest income                                 | (26,892)       | (31,817)       |
| Interest expense                                | 40,728         | 53,284         |
| Unrealised foreign exchange gains               | (376)          | (81)           |
| Share of results of associate (Note 4)          | (3,596)        | (2,898)        |
| Changes in working capital                      |                |                |
| - receivables and prepayments                   | (198,500)      | 45,595         |
| - inventories                                   | (4,824)        | (19,616)       |
| - trade and other payables                      | 112,635        | (23,324)       |
| - provisions for liabilities and charges        | (709)          | 13,810         |
| Cash generated from operations                  | <b>188,438</b> | <b>268,102</b> |

## 24 Related party transactions

The company is controlled by TPS Holdings Limited, incorporated in Kenya. There are other companies that are related to Tourism Promotion Services Limited through common shareholding and directorships.

The following transactions were carried out with related parties:

| i) Sale of goods                                                                        | 2002      | 2001      |
|-----------------------------------------------------------------------------------------|-----------|-----------|
|                                                                                         | Shs'000   | Shs'000   |
| Mountain Lodges Limited                                                                 | 3,087     | 36,994    |
| The company transfers goods to Mountain Lodges Limited, an associated company, at cost. |           |           |
| ii) Purchase of management services                                                     | 2002      | 2001      |
|                                                                                         | Shs'000   | Shs'000   |
| Tourism Promotion Services (Management) Limited                                         | 202,374   | 205,395   |
| iii) Outstanding balances with related parties                                          | 2002      | 2001      |
|                                                                                         | Shs'000   | Shs'000   |
| Receivables from related parties:                                                       |           |           |
| Goods sold to Mountain Lodges Limited                                                   | -         | 949       |
| Receivable from TPS Holdings Limited:                                                   |           |           |
| At start of year                                                                        | 35,037    | 19,856    |
| Advances during the year                                                                | 34,252    | 48,089    |
| Repayments                                                                              | (32,619)  | (32,908)  |
| At end of year                                                                          | 36,670    | 35,037    |
| Receivable from Tourism Promotion Services (Management) Limited:                        |           |           |
| At start of year                                                                        | 134,788   | 105,913   |
| Advances during the year                                                                | 624,674   | 503,924   |
| Repayments                                                                              | (539,108) | (475,049) |
| At end of year                                                                          | 220,354   | 134,788   |
| Total                                                                                   | 257,024   | 170,774   |

24 Related party transactions (continued)

iv) Payable to related parties:

|                          | 2002<br>Shs'000 | 2001<br>Shs'000 |
|--------------------------|-----------------|-----------------|
| At start of year         | 8,453           | 17,869          |
| Advances during the year | 20,591          | -               |
| Repayments               | -               | (9,416)         |
| At end of year           | 29,044          | 8,453           |

Advances to TPS Holdings Limited and Tourism Promotion Services (Management) Limited are repayable on demand and attract interest at the company's costs of borrowing.

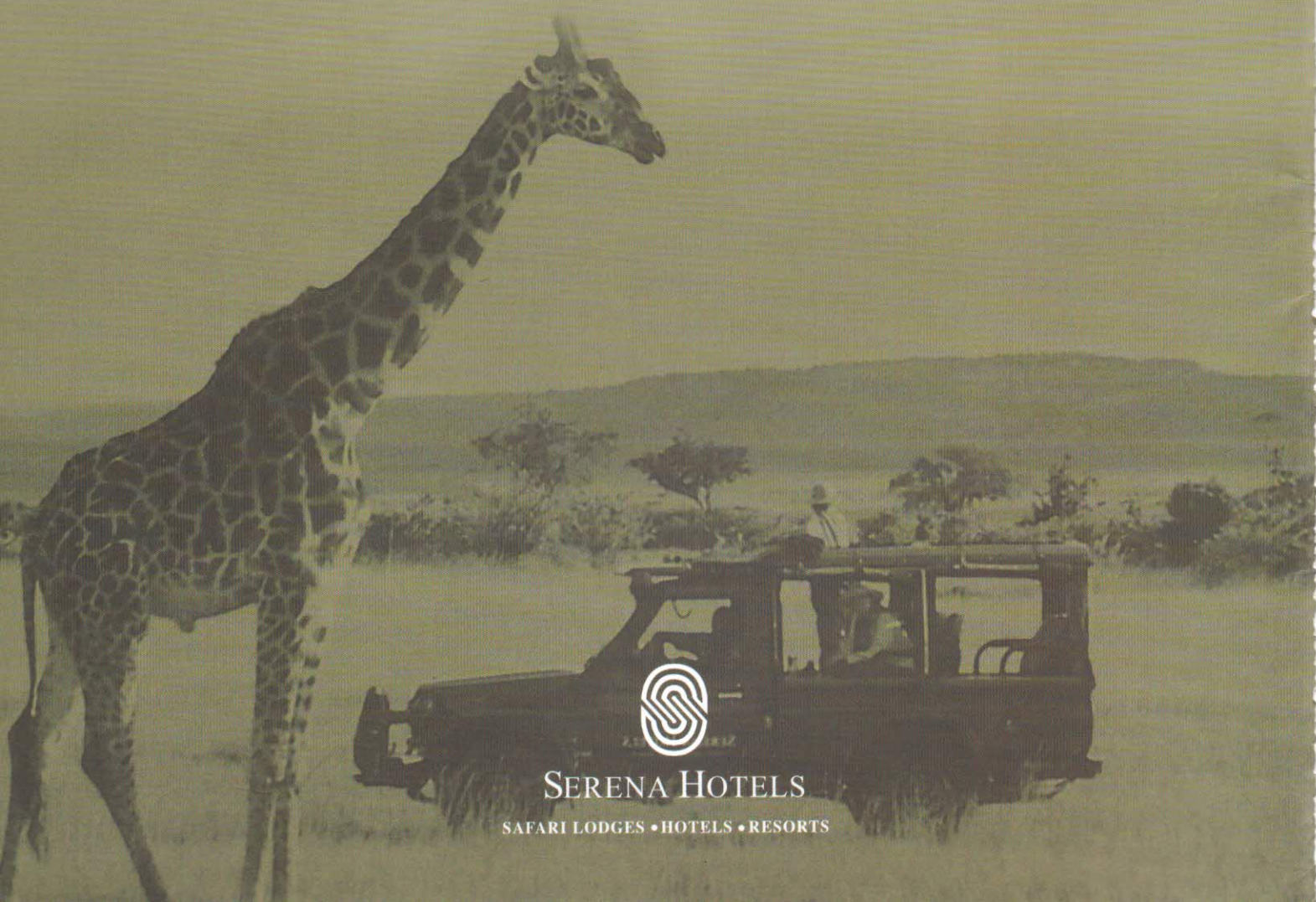
Advances to Tourism Promotion Services (Management) Limited include car loans amounting to Shs 4,163,000 (2001: 5,514,000) to directors of the company. Interest is charged at the rate of 15% per annum.

Advances from other related parties are repayable on demand and are interest free.

iv) Directors emoluments

|            | 2002<br>Shs'000 | 2001<br>Shs'000 |
|------------|-----------------|-----------------|
| Fees       | 300             | 420             |
| Management | 16,362          | 18,043          |





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